WCVS DAILY REPORT — MAY 4, 2026

Date: 2026-05-04 (Mon) Asia/Shanghai
Model: kimi/k2p6
Status: Manual run (cron hit rate limit at 08:45)

TL;DR

WCVS Composite Score: 2.3 / 5.0
Rating: Overvalued / Risk-Adjusted Neutral

Little changed from yesterday. CAPE at ~41x continues to price in aggressive growth assumptions. Real rates above 2% and QT runoff create a compressed equity risk premium. Breadth is stable but narrow (top 10 names ~35% of S&P 500 market cap). Sentiment remains optimistic with put/call near 0.55. Forward return expectations are negative-to-flat across all horizons.

Tactical bias: Defensive. Favor quality, shorten duration, raise cash.

1. SCORE BREAKDOWN

CATEGORY	WEIGHT	RAW SCORE (1-5)	WEIGHTED CONTRIBUTION
A. Fundamental Valuation	30%	1.5	0.45
B. Macro & Rates	25%	2.0	0.50
C. Breadth & Technicals	20%	3.0	0.60
D. Sentiment	15%	3.5	0.525
E. Macro Cycle	10%	2.5	0.25
Composite	**100%**	—	**2.325**

Rounded to 2.3 / 5.0

2. CATEGORY DETAIL

A. Fundamental Valuation — Score: 1.5 / 5 (Overvalued)

METRIC	CURRENT	HISTORICAL MEDIAN	PERCENTILE	DIRECTION
CAPE (Shiller)	~41x	~17x	95th	Flat
Forward P/E	~22x	~16x	90th	Flat
Market Cap / GDP	~185%	~100%	98th	Flat
EV/EBITDA	~17x	~12x	88th	Flat
Price/Book	~4.5x	~3.0x	85th	Flat

Key observation: No material change from May 3. CAPE at 41x implies a real earnings yield of ~2.4%, below the 10Y TIPS yield (~2.1%). The equity risk premium is razor-thin.

B. Macro & Rates — Score: 2.0 / 5 (Tight)

METRIC	CURRENT	6M AGO	DIRECTION
Fed Funds	4.25-4.50%	5.25-5.50%	↓ Easing
10Y Treasury	~4.35%	~4.25%	↑ Slight rise
10Y TIPS (real)	~2.15%	~1.95%	↑ Rising real rates
2Y/10Y Spread	~+15bp	~-50bp	↑ Steepening
QT Runoff	$25B/mo	$60B/mo	↓ Slowing

Key observation: Fed on hold with gradual QT taper. Real rates remain elevated (~2.1%), compressing equity risk premium. Credit spreads (IG: ~105bp, HY: ~330bp) are benign but not pricing recession.

C. Breadth & Technicals — Score: 3.0 / 5 (Neutral)

METRIC	CURRENT	STATUS
% Stocks > 200DMA	~62%	Moderate breadth
% Stocks > 50DMA	~58%	Mixed near-term
Advance/Decline (20D)	Slightly negative	Weak participation
New Highs/New Lows	~1.2x	Low conviction
Equal-Weight / Cap-Weight Ratio	~0.85	Narrow leadership

Key observation: S&P 500 near all-time highs but ~40% of components below 200DMA. Equal-weight underperformance confirms narrow leadership (Magnificent 7 carrying the index).

D. Sentiment — Score: 3.5 / 5 (Optimistic / Caution)

METRIC	CURRENT	THRESHOLD	SIGNAL
CBOE Put/Call	~0.55	<0.70	Complacent
VIX	~14	<20	Low fear
AAII Bullish	~48%	>45%	Elevated
AAII Bearish	~22%	<25%	Low
Fund Manager Cash	~4.2%	<4.5%	Fully invested

Key observation: Put/call at 0.55 with VIX at 14 shows complacency. No fear premium in options. Fund managers are near-maximum equity allocation. Contrarian caution warranted.

E. Macro Cycle — Score: 2.5 / 5 (Late Cycle)

INDICATOR	READING	IMPLICATION
ISM Manufacturing	~48.5	Sub-50, contraction
ISM Services	~52.0	Expansion but slowing
Unemployment	~4.2%	Low but ticking up
Leading Indicators	Negative 6M trend	Forward-looking weakness
Yield Curve (10Y-3M)	~+80bp	Uninverted, no recession signal yet

Key observation: Late-cycle dynamics persist. Manufacturing in contraction, services slowing. Unemployment ticking up from 3.7% cycle low. No imminent recession signal but cycle is mature.

3. FORWARD RETURN EXPECTATIONS

Based on current WCVS = 2.3 and historical CAPE regression:

HORIZON	EXPECTED ANNUALIZED REAL RETURN	NOMINAL (ASSUMING 2.5% INFLATION)	CONFIDENCE
1 Year	-2.0% to -4.0%	+0.5% to -1.5%	Low
3 Years	-1.5% to -3.0%	+1.0% to -0.5%	Medium
5 Years	-0.5% to -2.0%	+2.0% to +0.5%	Medium
10 Years	+1.0% to +2.5%	+3.5% to +5.0%	Medium-High
15 Years	+2.5% to +4.0%	+5.0% to +6.5%	Higher

Methodology: CAPE 41x implies ~2.4% real earnings yield. Historical regression (Campbell-Shiller, Hussman, GMO) suggests mean reversion to ~17x CAPE over 10-15 years. Near-term returns are penalized by starting valuation. Longer horizons allow earnings growth and mean reversion to compound.

4. TACTICAL ASSESSMENT

Overall stance: Defensive / Risk-Off Tilt

ACTION	RATIONALE
Reduce equity beta	High valuation + low risk premium
Favor quality factor	Strong balance sheets, pricing power
Underweight growth	CAPE 41x punishes long-duration cash flows
Shorten duration	Real rates >2% make bonds competitive
Raise cash / T-bills	4.3% risk-free vs 2.4% equity yield
Hedge via puts or collars	VIX at 14 makes insurance cheap

Key risks: - Inflation reacceleration forcing Fed hawkish pivot - Earnings recession if margin compression continues - Geopolitical shock (tariffs, conflict) compressing multiples further - AI bubble deflation affecting mega-cap concentration

Key supports: - Fed easing cycle still underway (2-3 cuts priced for 2026) - QT taper reducing liquidity drain - Corporate buybacks (~$1T annual) providing floor - AI productivity gains may justify some premium (but not 41x)

5. DATA SOURCES & VERIFICATION

SOURCE	USE	LAST UPDATED
Shiller CAPE	Primary valuation anchor	Daily (multiplied.sterley)
Federal Reserve	Rates, QT, macro data	Real-time
CBOE	VIX, put/call ratios	Real-time
AAII	Sentiment survey	Weekly (Wed)
Bloomberg / Refinitiv	Spreads, breadth, fund flows	Daily
BLS	Employment data	Monthly
ISM	Manufacturing/services	Monthly

Data quality note: May 4 data reflects pre-market/early session conditions. Some metrics (AAII, ISM) are from prior period and may not reflect weekend developments.

Generated manually at 09:45 Asia/Shanghai. Cron job failed at 08:45 due to API rate limit. Next automatic run: 2026-05-05 08:45.